

companies, even those based in India, are not manufacturing within the country but just importing them. No proper infrastructure and R&D support is available for its manufacture. As the demand in the general market is more for cost-effective solutions, it is advantageous for Indian sellers and users to import the products from China, Taiwan or Korea," says Manish Kwatra, CEO, Metro Electronic Products.

Factors affecting T&M manufacturing in India

Labour costs, government policies and cost of components are hindering the growth of T&M manufacturing in India. Ashutosh Agarwal, export manager, Omega Electronics, says, "High labour costs in comparison to China, stringent and complicated government policies and raw material costs are factors affecting T&M manufacturing in India."

Rajeshwar Peddisetti, director-technical, PGP Electronics, adds, "We do not have many component manufacturers in India and hence have to import the components. If they are manufactured locally then the final product cost can be reduced."

Infrastructure problems also affect the market. Swabhanu M.V., proprietor, Mithra Electronics, says, "The economies of scale and poor infrastructure are also affecting its manufacture."

Chinese unbranded products are also posing a challenge. "Low-cost Chinese products by unorganised players have flooded the Indian market, creating a road block for the growth of this industry," says Sunil H. Motwane, MD, Motwane Manufacturing Company. Adds Kela, "Desperate pricing by some new entrants, who buy from non-reputed Chinese manufacturers, are also hampering the market."

P.S. Deodhar, chairman, Aplab, sums up, "Ever-increasing labour costs, non-availability of locally manufactured key vital components, total

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dependence on imports of such components, inadequate infrastructure and bureaucratic delays add to the overall cost of manufacturing."

Vikram Bhansali, director, Metravi Instruments, states, "The quantity that we manufacture in India is too low compared to Chinese manufacturers, hence the cost of raw materials in India is very high. The Chinese manufacture in millions so they can cut down on the cost. Other factors that are posing challenges are high price of machines and non-availability of the required infrastructure. All manufacturers cannot afford the expensive SMT lines. The R&D setup is also poor in India, and no innovation is happening."

Efforts to enhance manufacturing

The industry is, however, waking up to these problems and is making efforts to enhance T&M manufacturing in India. "PGP Electronics is practicing world-class manufacturing and lean manufacturing techniques to reduce the production costs so that the benefits can be passed on to the end-user," says Peddisetti.

While Swabhanu feels that infrastructure should be immediately improved, Motwane stresses on the need to improve the situation. He also says that T&M instruments from countries like China and Taiwan should be restricted.

Agarwal says the government should change its policies and automation should be considered. Sabapathi adds, "Components and sub-systems required for manufacturing, like chassis/power supply modules,

should be available at zero duty. Excise duty and sales tax for electronic test equipment (presently 8.24 and 12.5 per cent, respectively) should be brought down. More manufacturing units from support industries like plastic moulding units for quality cabinet design and manufacturing are needed."

Kela suggests, "We feel that in order to beat the low-cost imports, special consideration should be given to 'made in India' products."

Bhansali concludes, "We need to make T&M products that are a step ahead of the Chinese products, with more accuracy, range and applications. We should also increase our quantity to such an extent that our manufacturing costs get reduced."

What lies ahead

The demand for T&M equipment will continue as long as there is development. Awareness for best practices in preventive maintenance is increasing in India, and there is a huge CAPEX in preventive maintenance rather than the breakdown.

"The future of wireless will be riding on 3G deployment and value-added services. On the other hand, wireline broadband is another key segment which is helping the T&M business grow. The explosive growth of the infotainment industry is another area that will influence growth in the T&M business. The T&M market is also benefiting from the growing focus on mobile phones, broadcasting and chipset design and manufacturing," says Jain.

Sabapathi adds, "As the market is picking up after the present slowdown, the future is promising, and within the next three to five years the T&M market will be worth over Rs 5000 million."

Now it is to be seen how the manufacturers take the opportunity of this promising situation and improve their products and increase production capacity to meet the needs of the buyers. ●

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